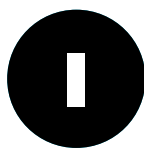


Rough Seas Ahead for Desi Maritime Insurance

THE BHARAT MARITIME INSURANCE POOL FOR INDIAN FLAGGED VESSELS AIMS TO OFFER UNINTERRUPTED RISK COVERAGE IN CONFLICT SITUATION. HOWEVER, IT FALLS SHORT OF COMPETITIVE OFFERINGS AND COVERAGE

BY **RICHA SHARMA**



IT IS BILLED as India's answer to global insurers underwriting maritime assets, and promises a timely boost to a country that relies on sea routes for its energy security and much of its international commerce.

The \$1.5 billion Bharat Maritime Insurance Pool (BMIP), a safety net unveiled in May 2026 amid the latest conflict in West Asia, offers uninterrupted insurance coverage to India-flagged and India-controlled merchant vessels.

True, the initial response to BMIP from maritime stakeholders has been less than enthusiastic, if not downright cold. Yet, its potential to reduce Indian dependence on foreign insurers over time is not in doubt.

In hindsight, BMIP's unveiling was prescient, coming just days before three Indian seafarers died in a US strike on a Palau-flagged vessel, MT Settebello, in the Gulf of Oman on June 10, 2026.

The incident, which triggered outrage in India, was grave enough for Prime Minister Narendra Modi to raise it at the G7 summit in Evian, France, and at a bilateral meeting there with US President Donald Trump in mid-June. The US justified the attack, which came ahead of a tenuous ceasefire that is now in effect in West Asia, on grounds the vessel had violated its blockade of Iranian ports.

Freedom of navigation and safety of shipping and seafarers in the Strait of Hormuz, the chokepoint for 60% of the world's oil trade, have been key global concerns since the US and Israel started the war against Iran in end-February.

They have only been upstaged by growing global worries over the rising price of crude oil and a steep increase in shipping and insurance costs as a result of the war. The war premium for an Indian ocean-going vessel ranges up to half a percentage point.

India's maritime sector accounts for more than 70% of trade by volume and nearly 95% by value. The Indian marine cargo insurance market is estimated to be worth \$2.89 billion in 2026 and expanding at a compound annual growth rate of 5.21%, according to MarkNTel Advisors, a market research and consulting firm.